

23rd April 2015

Chief Executive Officer,
Capital Markets Authority,
3rd Floor, Embankment Plaza,
Upper Hill,
NAIROBI.

Dear Sir,

**RE: TRANSCENTURY LIMITED GROUP FINANCIAL RESULTS FOR THE PERIOD ENDED 31ST
DECEMBER 2014**

Reference is made to the above matter.

Please find enclosed the audited financial statements for the year ended 31 December 2014 which are due to be published in the newspapers on Friday 24th April 2015.

Yours Sincerely,



Dr. Gachao Kiuna
GROUP CHIEF EXECUTIVE OFFICER

Cc: Chief Executive Officer
The Nairobi Stock Exchange
Nation Centre
Kimathi Street
NAIROBI

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF TRANSCENTURY LIMITED

We have audited the financial statements of TransCentury Limited which comprise the consolidated and company statements of financial position at 31 December 2014, the consolidated statement of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, the financial statements give a true and fair view of consolidated and company financial position of TransCentury Limited at 31 December 2014, and its consolidated financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- (ii) In our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) The statement of financial position of the company is in agreement with the books of account.

The Engagement Partner responsible for the audit resulting in this independent auditors' report is FCPA Eric Aholi - P/1471.

KPMG Kenya, Certified Public Accountants
Date: 23rd April 2015

OVERVIEW OF 2014 PERFORMANCE

TransCentury Limited ("TCL" or the "Group") is pleased to announce its results for the year ended 31 December 2014. The Group recorded a revenue of KES 10.2bn and a net loss of KES 2.3bn. The financial performance was adversely affected by a 36% drop in the revenue of the Engineering Division due to a number of delayed projects which have since commenced in Q1 2015. Despite a notable reduction of 12% in the London Metal Exchange (LME) prices, the Power Division recorded a 7% growth in revenue attributed to increased volumes driven by new markets.

The sale of the stake in Rift Valley Railways (RVR) significantly contributed to the loss in 2014. The Group through its wholly owned subsidiary, Safari Rail Company Limited ("Safari Rail"), disposed of its entire 34% shareholding in KU Railways Holdings Limited ("KURH") on 31st March 2014 by exercising a PUT Option as this investment failed to meet return targets set by the Group. The Group realised USD 43.7m (KES 3.8bn) from the sale, which saw it recover its entire cash investment in RVR. The funds have been redeployed towards debt reduction and growth capital in our existing Power and Engineering Divisions.

OUTLOOK

The Group continues to focus on growing its Operating Divisions and developing selective infrastructure projects which are synergistic to its operations. The business outlook is positive with growth prospects in both domestic and regional markets including major infrastructure projects both ongoing and planned across the region. The Company has secured a strong pipeline of infrastructure projects and together with an improved cost base forecasts a return to profitability in 2015. The key areas of opportunity include:

- **Power Infrastructure:** Significant growth is expected from on-going programs by utilities throughout the region to rehabilitate existing grids, increase new connections and augment power generation. The enforcement of the Government's policy on local sourcing of key products in the power sector from local manufacturers remains key. Our expanded and modernized plant in Kenya will be fully commissioned by Q2 of 2015 and will provide additional capacity and flexibility to offer a wide product range to cover the Eastern and Central African region. The development of additional power generation capacity is a significant opportunity as the Group looks to develop new power plants in 2015 (e.g. Menengai Geothermal Power Plant).
- **Transport Infrastructure:** The increasing level of Government and private participation in infrastructure projects to support growth in the transportation sector such as the 10,000 km annuity financed road project in Kenya, where the Group was recently shortlisted as the preferred bidder for lot 1 of the annuity roads program is a major opportunity for the Group.
- **Oil and Gas Infrastructure:** The discovery of natural resources such as on-shore oil in Northern Kenya and the large gas deposits in Southern Tanzania is creating significant opportunities as the Group continues to serve its oil and gas clients on their infrastructure needs.
- **Mining Infrastructure:** The development of the nascent mining sector leading to new mine builds in East, Central and Southern Africa region continues to be an area of growth for the Group, particularly in DR Congo and Kenya.

Lastly, to minimize execution risk, the Group continues to focus on building strategic relationship with key technical partners, who have a strong track record for delivering similar infrastructure projects internationally.

By Order of the Board
Virginia Ndunge, Company Secretary
23rd April 2015

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS
AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2014**

	2014 KShs'000	2013 KShs'000
Revenue	10,249,593	11,807,576
Cost of sales	(7,668,666)	(8,248,302)
Gross profit	2,580,927	3,559,274
Net other income	285,276	1,208,111
Operating expenses	(2,556,420)	(2,509,021)
Loss on sale of investment	(1,035,015)	-
(Loss)/profit before depreciation, impairment and finance cost	(725,232)	2,258,364
Depreciation and amortisation	(679,365)	(723,315)
Results from operating activities	(1,404,597)	1,535,049
Finance income	47,111	59,166
Finance costs	(756,716)	(735,625)
Net finance costs	(709,605)	(676,459)
(Loss)/profit before income tax	(2,114,202)	858,590
Income tax expense	(163,727)	(232,158)
(Loss)/profit for the year	(2,277,929)	626,432
Other comprehensive income		
Revaluation of property, plant and equipment	77,140	-
Revaluation of prepaid operating lease rentals	-	268,161
Deferred tax on revaluations	17,715	(81,716)
Net change in fair value of available-for-sale financial assets	90,626	42,594
Exchange differences on translation of foreign subsidiaries	109,875	(63,058)
Other comprehensive income net of income tax	295,356	165,981
Total comprehensive income for the year	(1,982,573)	792,413
(Loss)/profit after tax is attributable to:		
Equity holders of the company	(2,362,677)	291,295
Non-controlling interest	84,748	335,137
(Loss)/profit for the year	(2,277,929)	626,432
Total comprehensive income for the year attributable to:		
Equity holders of the company	(2,069,737)	404,017
Non-controlling interest	87,164	388,396
Total comprehensive income for the year	(1,982,573)	792,413
Basic earnings per share - KShs	(8.53)	1.06
Diluted earnings per share - KShs	(8.53)	1.06
Dividend per share - KShs	-	0.40

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2014

	2014 KShs'000	2013 KShs'000
ASSETS		
Non current assets		
Property, plant and equipment	7,363,528	6,630,211
Investment property	348,298	282,868
Prepaid operating lease rentals	432,406	446,703
Intangible assets	2,539,117	2,457,864
Quoted investments	301	316
Unquoted investments	539,353	5,237,133
Deferred tax asset	5,992	944
	11,228,995	15,056,039
Current assets		
Inventory	1,860,008	1,540,428
Trade and other receivables	5,886,588	6,843,673
Tax receivable	194,804	38,938
Cash and cash equivalents	293,263	361,195
	8,234,663	8,784,234
TOTAL ASSETS	19,463,658	23,840,273
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	140,142	136,975
Share premium	565,101	379,717
Revenue reserves	1,278,346	3,286,015
Translation reserve	249,935	112,139
Available-for-sale reserve	330,813	240,187
Revaluation reserve	994,385	932,787
Proposed dividends	-	109,580
Total equity attributable to equity holders of the company	3,558,722	5,197,400
Non-controlling interest	2,536,003	2,888,986
Convertible bond	5,386,973	5,132,002
Total equity	11,481,698	13,218,388
LIABILITIES		
Non current liabilities		
Deferred tax liability	962,155	884,418
Provision for staff gratuity	59,148	43,673
Long term loan – non-current portion	1,797,704	3,786,665
	2,819,007	4,714,756
Current liabilities		
Bank overdraft	748,023	491,348
Long term loan – current portion	1,725,750	1,833,357
Trade and other payables	2,669,275	3,562,072
Tax payable	19,661	20,108
Unclaimed dividends	244	244
	5,162,953	5,907,129
Total liabilities	7,981,960	10,621,885
TOTAL EQUITY AND LIABILITIES	19,463,658	23,840,273

CONSOLIDATED STATEMENT OF CASHFLOWS AS AT 31 DECEMBER 2014

	2014 KShs'000	2013 KShs'000
Cash (used in)/generated from operations	(158,567)	548,685
Income tax paid	(212,853)	(418,576)
Dividends paid to shareholders of the company	(109,580)	(109,580)
Dividend paid to non-controlling interest	(88,059)	(90,488)
Net cash flows used in operating activities	(569,059)	(69,959)
Net cash flows generated from/(used in) investing activities	2,447,243	(1,265,633)
Net cash flows (used in)/generated from financing activities	(2,202,791)	1,266,428
Net decrease in cash and cash equivalents	(324,607)	(69,164)
Cash and cash equivalents at the beginning of the year	(130,153)	(60,989)
Cash and cash equivalents at the end of the year	(454,760)	(130,153)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs '000	Share premium KShs '000	Revaluation reserves KShs '000	Translation reserve KShs '000	Available for sale reserve KShs '000	Revenue reserves KShs '000	Proposed dividends KShs '000	Total KShs'000	Non- controlling interest KShs '000	Total equity KShs'000
Balance at 1 January 2013	136,975	379,717	793,778	182,489	197,593	3,102,831	109,580	4,902,963	2,591,078	7,494,041
Total comprehensive income for the year net of tax										
Net profit after tax	-	-	-	-	-	291,295	-	291,295	335,137	626,432
Other comprehensive income										
Revaluation of property, plant and equipment net of deferred tax	-	-	130,512	-	-	-	-	130,512	55,933	186,445
Exchange adjustment	-	-	-	(63,176)	-	-	-	(63,176)	118	(63,058)
Net change in fair value of available-for-sale financial assets	-	-	-	-	42,594	-	-	42,594	-	42,594
Transfer to translation reserve	-	-	8,497	-	-	(8,497)	-	-	-	-
Transfer from translation reserve	-	-	-	(7,174)	-	9,966	-	2,792	(2,792)	-
Total other comprehensive income	-	-	139,009	(70,350)	42,594	1,469	-	112,722	53,259	165,981
Total comprehensive income	-	-	139,009	(70,350)	42,594	292,764	-	404,017	388,396	792,413
Transactions with owners of the company										
Contributions and distributions										
Dividend paid	-	-	-	-	-	-	(109,580)	(109,580)	(90,488)	(200,068)
Proposed dividends	-	-	-	-	-	(109,580)	109,580	-	-	-
Total transactions with owners of the company	-	-	-	-	-	(109,580)	-	(109,580)	(90,488)	(200,068)
Balance at 31 December 2013	136,975	379,717	932,787	112,139	240,187	3,286,015	109,580	5,197,400	2,888,986	8,086,386
Total comprehensive income for the year net of tax										
Net profit after tax	-	-	-	-	-	(2,362,677)	-	(2,362,677)	84,748	(2,277,929)
Other comprehensive income										
Revaluation of property, plant and equipment net of deferred tax	-	-	77,140	-	-	-	-	77,140	-	77,140
Transfer to deferred tax	-	-	5,920	-	-	-	-	5,920	11,795	17,715
Exchange adjustment	-	-	-	122,394	-	-	-	122,394	(12,519)	109,875
Net change in fair value of available-for-sale financial assets	-	-	-	-	90,626	-	-	90,626	-	90,626
Transfer from translation reserve	-	-	(58,599)	16,289	-	42,310	-	-	-	-
Transfer from NCI	-	-	37,137	(887)	-	312,698	-	348,948	(348,948)	-
Total other comprehensive income	-	-	61,598	137,796	90,626	355,008	-	645,028	(349,672)	295,356
Total comprehensive income	-	-	61,598	137,796	90,626	(2,007,669)	-	(1,717,649)	(264,924)	(1,982,573)
Transactions with owners of the company										
Contributions and distributions										
Issue of additional shares	3,167	185,384	-	-	-	-	-	188,551	-	188,551
Dividend paid	-	-	-	-	-	-	(109,580)	(109,580)	(88,059)	(197,639)
Proposed dividends	-	-	-	-	-	-	-	-	-	-
Total transactions with owners of the company	3,167	185,384	-	-	-	-	(109,580)	78,971	(88,059)	(9,088)
Balance at 31 December 2014	140,142	565,101	994,385	249,935	330,813	1,278,346	-	3,558,722	2,536,003	6,094,725

The financial statements were approved by the Board of Directors on 23rd April 2015 and were signed on its behalf by:

Mr. Z.G. Mbugua - Chairman
Dr. G. Kiuna - Director

NOTE:

A full copy of the Group Financial Statements including explanatory notes will be available on our website www.transcentury.co.ke from Thursday, 30th April 2015.
For further enquiries, please contact us on: investor@transcentury.co.ke